Indian agriculture and MSMEs would be much better served and develop into genuine businesses if such intrusive programmes with thinly delivered support were stopped and the savings gained transferred to farmers as direct cash benefits.

The expenditure allocations for such schemes exceed Rs 2 lakh crore. Most of these schemes can be converted into direct cash grant support to the concerned class. The allocations meant for agriculture input schemes can be delivered as direct cash transfer to farmers with decontrol of input prices. This will improve choices for farmers and make agriculture input markets competitive.

These reforms should be aimed at improving the competitiveness of industry and agriculture, not saving any budgetary allocation.

Reforming the Redistribution Framework

Redistribution is a legitimate function of the government. However, the mode of delivery is still schematic, micromanaged and indirect. There are hundreds of Central government schemes to deliver redistribution in India.

There are numerous wage employment schemes. There are multiple skill acquisition financing schemes. There are several small capital/grant support schemes for the poor to undertake livelihood enterprises. There are schemes to deliver education. There are numerous scholarship and funding support schemes. There are also cash transfer schemes aimed at specific groups. There are retirement savings support schemes. There are subsidization schemes for specific products and services. You name it and there is a Central government scheme for it!

All these schemes, after going through so many pipes of bureaucratic organizations, ultimately reach (minus the amount lost in the leaks) the same poor households. Poor households may get five, ten, fifteen or twenty kinds of ‘benefits’ over a period of time, but such supplied benefits don’t